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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final ..... Examination

Group No. 2 Paper No. 5

Subject IDT

Number of Answer Books used : Main + 7 additional sheets

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THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

MAY, 2025

6 MAY MAY 2025

Paper Code

E (D) T (S) X (W) 1

MCQ Booklet Serial No. 5416149

Paper No. 5

Level of Exam: Final

Foundation (1) Intermediate (2) Final (●)

MCQ Answers

1	●	B	C	D	11	A	B	●	D	21	A	B	C	D
2	●	B	C	D	12	A	●	C	D	22	A	B	C	D
3	A	●	C	D	13	A	●	C	D	23	A	B	C	D
4	A	●	C	D	14	●	B	C	D	24	A	B	C	D
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6	●	B	C	D	16	A	B	C	D	26	A	B	C	D
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8	A	B	C	●	18	A	B	C	D	28	A	B	C	D
9	A	●	C	D	19	A	B	C	D	29	A	B	C	D
10	A	B	C	●	20	A	B	C	D	30	A	B	C	D

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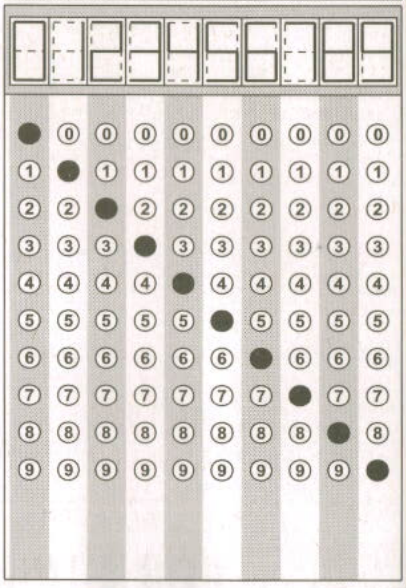
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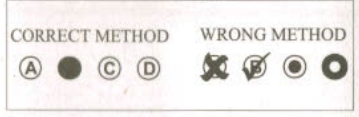
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How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
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Answer - 4(a)

Q.4.

a.

As per Section 51 of the Central Goods and Services Act, 2017, following entities are required to deduct tax at source @ 1% for CGST and @ 1% of SGST (IGST @ 2%), where contract value of taxable supplies exceed ₹ 250,000 on invoice value excluding CGST/SGST/UTGST/IGST:

- Government Department
- Local Authority
- Public Sector Undertaking
- Society established by Central Government or State Government
- Such other bodies as may be prescribed.

(i) Contract value is to be computed excluding GST element. Thus, contract value of taxable supplies made by M/s XYZ to Government of Delhi is :

$$260,000 \times \frac{100}{118} = ₹\ 220,339$$

As contract value of taxable supply does not exceed ₹ 250,000, TDS provisions are <u>not</u> <u>applicable</u>.

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(ii) Contract value for supply to National Housing Bank exceeds ₹250,000. As ~~service~~ goods are provided in Mumbai office, CGST and SGST is applicable.

∴ TDS will be deducted @ 1% each.

CGST = 20,00,000 × 1% = 20,000
SGST = 20,00,000 × 1% = 20,000.

(iii) For Services supplied in relation to immovable property, place of supply is location of immovable property u/s 12 of Integrated Goods and Service Tax Act, 2017, thus place of supply is Nagpur, Maharashtra.

As supplier and place of supply are located in same state, it is an intra-state supply.

Although, contract value exceeds ₹250,000, as supplier of services and place of supply are in same state but ~~locati~~ registration of recipient is in different state, TDS provisions are not applicable.

(iv) For TDS provisions to apply, contract value should exceed ₹250,000.

As contract value is exactly ₹250,000 TDS will not be applicable

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(v) As per notification, supply of metal scrap by registered supplier to registered recipient attracts TDS provisions as per Section 51(1)(d).

Thus, TDS will be applicable @ 1% CGST and 1% SGST as recipient is located in same state

300,000 × 1% = ₹3000 CGST
300,000 × 1% = ₹3000 SGST

Answer- 4(b)

(i)

Quarterly Return Monthly Payment (QRMP) scheme is applicable when aggregate annual turnover of preceeding financial year is upto ₹ 5 crore.

Aggregate annual turnover is to be computed on All India basis u/s 2(6) of CGST Act, 2017.

Further, registered person can opt for QRMP scheme for one of its registered GSTINs and continue with regular return filing scheme for other registrations.

In light of above, aggregate annual turnover RRY Ltd is ₹ 4.74 (3.27+1.47) crore for preceeding financial year.

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Thus, it is eligible for QRMP scheme in FY 2024-25

Further, can opt to file return under QRMP scheme for one of its place of business having different registration and can continue to file return on monthly basis for other place of business under different registrations.

(ii) Dynamic QR code requirements are to be complied by each registered person having aggregate turnover exceeding ₹ 500 crore in any Financial Year ~~at~~ from FY 2016-17 with respect to B2C supplies.

Requirements of Dynamic QR Code are to be complied by each registered person individually.

Thus, even though ecommerce operator has complied with dynamic QR code requirements, supplier using e-commerce portal for B2C supplies are required to comply requirements of dynamic QR code.

Thus, statement is invalid.

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~~further~~,
However, it will be sufficient for the supplier to cross-refer the payment made by recipient via the dynamic QR code of the e-commerce operator, to comply with the requirements of dynamic QR code.

Answer- 4(c)

Q.4.
c.

Computation of
Custom Duty Payable

	₹
100 cigarettes of ₹120 each (Cigarettes upto 100 are covered under general duty free baggage allowance of ₹15000 for foreign origin tourist coming to India)	12,000
Travel Souvenir (Travel Souvenir are allowed duty free under General duty free baggage allowance)	-
Other Articles carried in person (other articles other than used personal effects are liable to duty)	125,500

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Fire Arms	-
Cartidges (50 x 510)	25,500
(Fire arms and cartidges exceeding 50 are not allowed under general duty free baggage allowance)	
	163,000
(-) General duty free baggage allowance	(15,000)
	148,000
Custom Duty (including SWS) (148000 x 38.5%.)	56,980

Note:
Cigarettes exceeding 100, fire arms, cartidges exceeding 50 will be chargeable to custom duty @ 100% under general heading.

Answer - 5 (a)

Q.5.

a ~~AA~~

(i) Mr. X has issued an invoice without actual supply of goods.

Thus, there is no supply u/s 7 of CGST Act, 2017.

As there is no supply, no tax liability arises and demand proceeding u/s 74 can not be initiated

Thus, amount cannot be demanded u/s 74

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(ii) For an offence to be cognizable, it shall involve an amount of tax exceeding ₹ 5 crore and specified offences under Section 132(1)(a), (b) (c) and (d) of CGST Act, 2017 as per Section 132(5).

As amount of tax evaded (aggregate of CGST and SGST) does not exceed of ₹ 5 crore, it is ~~a not oongi~~ not cognizable and bailable offence.

(iii) Offence committed by Mr.X falls under section 132(1)(b), that is issue of invoice without supply of goods and services in violation of the provisions of this Act or rules issued thereunder leading to wrongful availment of input tax credit or refund of tax.

~~Thus~~, Further, amount of tax evaded exceeds ₹ 2 crore.

Hence, Mr.X is punishable with imprisonment upto 3 years and with Fine

Further, imprisonment shall be for minimum period of 6 months.

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(iv) Penalty shall be levied on Mr. X u/s 122(1)(ii) for issue of invoice without supply.

Amount of penalty is ₹10,000 or amount of tax evaded, whichever is higher.

Thus, penalty under CGST and SGST is ₹ 3.6 crore

(v) If any person aids or abets in such offence, penalty may be levied u/s 122(3).
Amount of penalty can extend upto ₹25,000.

Answer - 5(b)

8.5.

b.

(1) Any person aggrieved by the order of Revisional Authority shall file before Appellate Tribunal.

M/s Karim Associates will file a appeal to Appellate Tribunal.

(2)

(a) Amount of pre-deposit for any appeal filed before Appellate Tribunal shall be :-

i) amount of tax, interest and penalty as admitted by the appellant, and

ii) 20% of the tax in dispute subject to maximum ₹50 crore (₹100 crore in case of IGST)

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Thus, M/s Karim Associates will pre-deposit :-

i) Admitted tax ₹ 20,00,000
interest ₹ 500,000
and penalty ₹ 20,00,000
₹ 45,00,000

ii) 20% of tax in dispute i.e. ₹10,00,000
(70,00,000 - 20,00,000) x 20%.

Total = ₹55,00,000

(3)

Refund of pre-deposit shall be available @ 6% from date of pre-deposit till date of receipt of refund.

Thus, refund is available on pre-deposit of ₹10,00,000 i.e. 20% of tax in dispute from 30/11/2024 to 14/03/2025 i.e. 104 days

$$\text{Interest} = 10,00,000 \times \frac{104}{365} \times 6\%$$

$$= \underline{\boxed{₹\ 17,096}} \text{ (approx).}$$

(4) If appeal is to be filed against order of Adjudicating Authority, appeal shall be filed before Appellate Authority

Pre-deposit will be as follows:-

i) amount of tax, interest and penalty as admitted

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and

ii) 10% of tax in dispute (maximum ₹25 crore)

Thus, pre-deposit amount is as follows:-

i) ₹45,00,000 [as computed in (2)]
and
ii) (60,00,000 - 20,00,000) x 10%

= ₹400,000

∴ Total pre-deposit = 45,00,000 + 400,000

= **₹49,00,000**

Answer - 5(c)

Q.5.

c. As per Customs Act, 1962, interest shall be payable on deferred duty on warehoused goods @ 15% from 90 days beyond order permitting deposit of goods in a warehouse u/s 60(1) is made until date of actual payment of duty.

Further, on goods re-exported without payment of duty, import duty is not leviable.

Supreme Court in Pratibha Processors vs UOI

held that, interest is to be levied on principal amount, i.e. duty leviable on import of goods.
Where no duty is payable on imported goods, interest cannot arise.
Interest is to be paid for deferrment of duty.

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In absence of duty itself, interest cannot be levied.

Thus, where duty to be payable is nil, interest is also nil.

In light of above, as no duty is payable by Mr. Ankush on import of goods to be re-exported, interest shall be nil.

Thus, contention of Custom department is incorrect.
No interest is payable.

Answer - 2 (a)

Q.2.

a.

	Value	CGST	SGST	IGST
(i) Supply of milling of wheat into wheat flour (Supply of services under Public Distribution System is exempt. Further, composite supply where Supply of goods is upto 25% of total value of supply is exempt. ~~However, there~~ Further milling of wheat into wheat flour alters essential charachter of agriculture produce. Thus, in absence of any specific entry, supply is taxable as inter-state supply as recipient is located in different state)	850,000			153,000

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	Value	CGST	SGST	IGST
(ii) Direct selling agent services (Direct selling agent services supplied by individual ~~a~~ to bank are chargeable under reverse charge. M/s JLM & Sons is a firm, hence forward charge is applicable. Further, as bank is located in same locality, it is intra-state supply)	400,000	36,000	36,000	-
(iii) Supply of tobacco leaves (Supply of tobacco by agriculturist to registered person is chargeable to tax under ~~RCM~~) reverse charge basis)	-	-	-	-

Note:- However, in point (iii) above, as agriculturist

includes only individual and HUF, a view can be taken that M/s JLM & Sons is not agriculturist and thus, goods are chargeable to tax under forward charge).

	Value	CGST	SGST	IGST
~~(iii)~~				
(iv) Training Services to ~~Any t~~ drivers (Any training services provided by a person, where more than 75% of the cost is paid by inter alia any State Government is exempt under GST)	-	-	-	-
(v) Amount received from Sunil Constructions (Any amount received as a consideration ~~for from~~ to agree to tolerate an act or refrain from an act or to do an act	26,00,000	234,000	234,000	-

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	Value	CGST	SGST	IGST
is treated as supply of services under Schedule II to CGST Act, 2017)				
Total	3850,000	270,000	270,000	153,000

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Answer - 2(b)

Q.2.
b.

As per Schedule II to the GGST Act, 2017 supply of undertaking a process on goods belonging to other registered person, i.e. supply of job work is supply of services.

Thus, M/s VRM Ltd, providing job work services shall treat it as supply of services taxable @ 18%.

Further, any supply of ~~an~~ waste or refuse ~~on~~ generated by job work process shall be leviable to tax in hands of job-worker as supply

of goods.

Further, ~~value of~~ any goods, other than goods provided by the principal can be used by the job-worker in undertaking supply of job work services.

Thus, value of metal frames will be included in job work charges.

Thus, taxable value and GST liability is as below:-

	Value	GST
Supply of Job-Work Services (including value of metal frames)	650,000	117,000 (18%)
Supply of metal waste (Supply of goods chargeable @12%)	52,000	6240
	702,000	123,240

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Under Section 15(2)(b), any value of goods or services incurred by the ~~re~~ recipient of supply, in relation to supply, which supplier was liable to incur, shall be included in the value of supply.

Thus, any goods provided by recipient on free of cost basis to supplier, shall be included in value.

However, in job-work services, job worker's scope of supply is to undertake process on goods belonging to principal.

Thus, it is under no duty to provide the goods on which process is to be undertaken. Further, ownership of goods is of principal.

Thus, job worker is not liable to provide cabinets and hence, even if

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Such goods are provided free of cost by recipient, it should be excluded from value of supply.

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Answer - 2(c)

Q.2.

c.

	Amount ($)
Cost of Machine (Price actually payable i.e. Transaction Value)	20,000
Design Charges paid in USA (Included under Rule 10 of Custom Valuation Rules)	300
License fee payable as condition of Sale (Included under Rule 10) (20,000 x 10%)	2000

Buying Commission (Buying commission paid by importer is specifically excluded)	-
Commission payable to local agent (20,000 x 5%.)	1000
Materials and Components supplied by buyer (₹50,000 ⌀/83)	602.41
Air freight (restricted to 20% of FOB Value	4780.482 ~~4780.842~~
FOB = 20,000 + 300 + 2000 + 1000 + 602.41 = 23902.41	
23902.41 x 20%. = $4780.482)	28682.892
Amount in ₹ (convertible at CBIC rate ₹83/$)	₹ 23,80,680.

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	₹
Insurance paid	6000
Developmental activities in India (Excluded from value of imports ~~under~~ as undertaken in India)	-
Assessable Value	₹ 23,86,680

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Answer - 1

Q-1.

(A) Computation of Output Tax Liability

	Value	IGST
(i) Export of 'D' with GST (As export of goods is with payment of IGST, tax is payable)	16,50,000	198,000
(ii) 'D' supplied under LUT to SEZ (Supply of goods under LUT to SEZ are zero-rated supplies u/s 16 of IGST Act, 2017, tax is not payable)	-	-
(iii) Export under LUT (Supply of goods as export LUT is zero-rated supply u/s 16 of IGST Act, 2017)	-	-
(iv) Domestic outward supply (Supply of goods @ 12%)	46,00,000	552,000

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	Value	IGST
(v) Outward Services under Reverse Charge (Services are under reverse charge, tax is payable by recipient)	-	-
(vi) Sale of Securities (Securities are neither goods nor services, thus, not supply)	-	-
(vii) Outward Hiring of Trucks (Supply by way of hire to GTA, any vehicle for transportation of goods is exempt)	-	-
(viii) Sale of Land (Sale of Land is neither supply of goods nor services under Schedule II of CGST Act, 2017)	-	-

	Value	IGST
(ix) Interest Received (Interest received is exempt supply of services of ~~acc~~ extending loan or advance where consideration represented by interest ~~or~~ discount)	-	-
Total Outward Supplies	6250,000	750,000

(B) ~~Supplies~~ Inward Supplies for Computation of Input Tax Credit (ITC)

	Value	IGST
Inputs	20,00,000	240,000 ~~360,000~~ (12%.)
Input services	800,000	144,000 (18%.)
Tax paid on Freight under ~~RCM~~ reverse charge basis	75,000	3750 (5%.)

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However, input and input services received are used for supply of both taxable and exempt supplies. Thus, ITC should be apportioned on basis of Rule 42.

Total Common Credit = ₹ ~~504,000~~ 384,000
(C)

Total Exempt Supply :-

Service where Tax Payable under reverse charge	800,000
Sale of securities (1% of Transaction Value i.e. 1% x 42,00,000)	42,000
Exempt Supply of Hiring Trucks	700,000
Sale of Land (280,000/2% i.e. 140,00,000 which is stamp duty value)	140,00,000
Interest received (not be included as per Rule 42)	-
	155,42,000

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~~Taxab~~

Total Turnover
(Exempt + Taxable + Zero-Rated + Interest
Supply Supply Supply Received)

i.e.

155,42,000 + 62,50,000 + 20,00,000 + 251,000

= 240,43,000

∴ Credit apportioned to Exempt Supply

= ~~Exe~~

Common Credit × Exempt Supply / Total Turnover

384000
~~504,000~~ × 155,42,000 / 24,043,000

= ₹ ~~325,798~~ 248,227

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∴ Common Credit Available for ITC = 384000 - 248227 = ~~504,000 - 325798~~

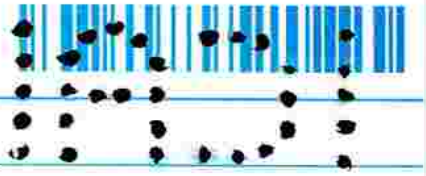
= ₹ ~~178,202~~ 135773

Total Credit Available = ~~178202~~ 135773 + 3750

= ~~₹181,952~~ 139523

(c) Computation of Net GST Payable in Cash

Output Tax Liability (A)		750,000
(+) Supplies for which tax payable under Reverse Charge (GTA)		3750
(-) ITC Available (B)	139523	~~(181952)~~
Minimum Amount payable in Cash		~~571,798~~
		614227



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Answer - 3(a)

Q.3.

a.

(i) As per Section 10(1)(ca) of the Integrated Goods and Service Tax Act (IGST Act), 2017,

where recipient of supply of goods is unregistered, place of supply is location of the recipient as mentioned in the invoice.

Thus, if location of recipient is recorded in invoice, it shall be place of supply.

As per CBIC Circular on supply of goods by e-commerce, where recipient is located in State X and billing address is of State X however, delivery address is in State Y, place of supply shall be the delivery address

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i.e. Mumbai, Maharashtra in this case.

E-commerce platform may record the delivery address in the invoice issued to recipient instead of biling address.

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~~(ii)~~ (ii)

As per Section 12 of IGST Act, 2017 where both supplier and recipient of service are located in taxable territory and supply involves personal grooming and fitness services, place of supply shall be location where such services are actually performed.

Thus, place of supply will be Delhi.

(iii) As per Section 13(4) of the IGST Act, 2017, where either supplier of service or recipient of service is located outside India, and supply is in relation to services provided with respect to immovable property, including interior decoration services in respect of immovable property, place of supply shall be location of such immovable property.

Further, where immovable property is situated at multiple locations, any one of which is in taxable territory, place of supply shall be in taxable territory.

Thus, as services are in relation to immovable property, and one of the immovable property is in India, place of supply is Dehradun, Uttarakhand.

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(iv)

As per Section 10(1) of the IGST Act, 2017
where supplier and recipient of goods are located in India and supply of goods ~~or~~ involves assembly or installation, place of supply shall be location where such goods are assembled or installed.

Thus, place of supply shall be printing plant of SQR Mills at Bhopal, Madhya Pradesh

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Answer - 3(C)

Q.3.

C.

Import Duty paid at time of importation = ₹30 Lakh.

Where, importer clears capital goods for which concessional rate of duty had been availed, value of such capital goods shall be reduced by depreciation charged as follows:

For every quarter in year 1	4%
For every quarter in year 2	3%
For every quarter in year 3	3%
For every quarter in year 4 and 5	2.5%
For every quarter thereafter	2%

~~Date of~~ Depreciation shall begin from date capital good is put to use till the date it is finally cleared. ~~for bar~~

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5818322-11

16 MAY 2025

Addl. Book No. 6

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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MAY, 2025

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Depreciation shall be charged for each quarter and quarter includes part of quarter.

Thus, depreciation shall be charged From 3 Jan. 2025 to 15 April, 2025, i.e. 2 quarters

Depreciation = 3,00,00,000 × 2 × 4%.

= ₹24,00,000

∴ Depreciated value = 300,00,000 - 24,00,000

= ₹276,00,000

Amount of Duty leviable on clearance = 276,00,000 × 15%.

= ₹41,40,000

∴ Differential = 41,40,000 - 30,00,000
Duty

= ₹ 11,40,000

Interest u/s 28AA shall be payable from date of importation to date of actual payment of duty i.e. 10 Sept 2024 to 30 April 2025

i.e. 232 days

Interest shall be payable @ 15% p.a.

∴ Interest = $11,40,000 \times \frac{232}{365} \times 15\%$

= ~~₹ 108690~~ 108,690

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Answer - 3 (b)

Q. 3.
b.

(i) Full upfront payment

As per Section 7 of CGST Act, 2017, right to use an asset shall be treated as supply of services. However, as such services are received from Department of Telecommunication, i.e. Government Department, ~~Services~~ GST shall be payable M/s Vijay Communication under reverse charge basis u/s 9(3).

As services are received from unregistered supplier, recipient is required to issue invoice u/s 31(3)(f) as supply involves payment by recipient on reverse charge basis.

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Further, in case of reverse charge supply of services, time of supply u/s 13 of CGST Act, 2017 shall be as follows:-

Earlier of the following dates:-

i) Date of payment i.e. date on which debited in bank account and record in books whichever is earlier

ii) day immediately following 60 days from date of issue of invoice.

Thus, time of supply shall be date of full payment or 61st day from date of issue of invoice. whichever is earlier.

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(ii) In case, payment is made in instalments of 18 months, (exceeding 3 months) it is continuous supply of services, and invoice shall be issued on due date of payment as due date of payment is ascertainable under contract u/s 31 of CGST Act, 2017.

Time of supply in such case shall be computed as above in (i).

Alternatively as per
~~However~~, CBIC circular,

Time of supply shall be earlier of :-

i) date of receipt of payment by DoT

~~or~~

ii) date on which payment is due

where invoice is issued within 30 days from date of service.

Even when invoice is issued after 30 days from date of service

time of supply is date ~~of~~ when payment ~~is~~ is due or made

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